Strategic Analysis

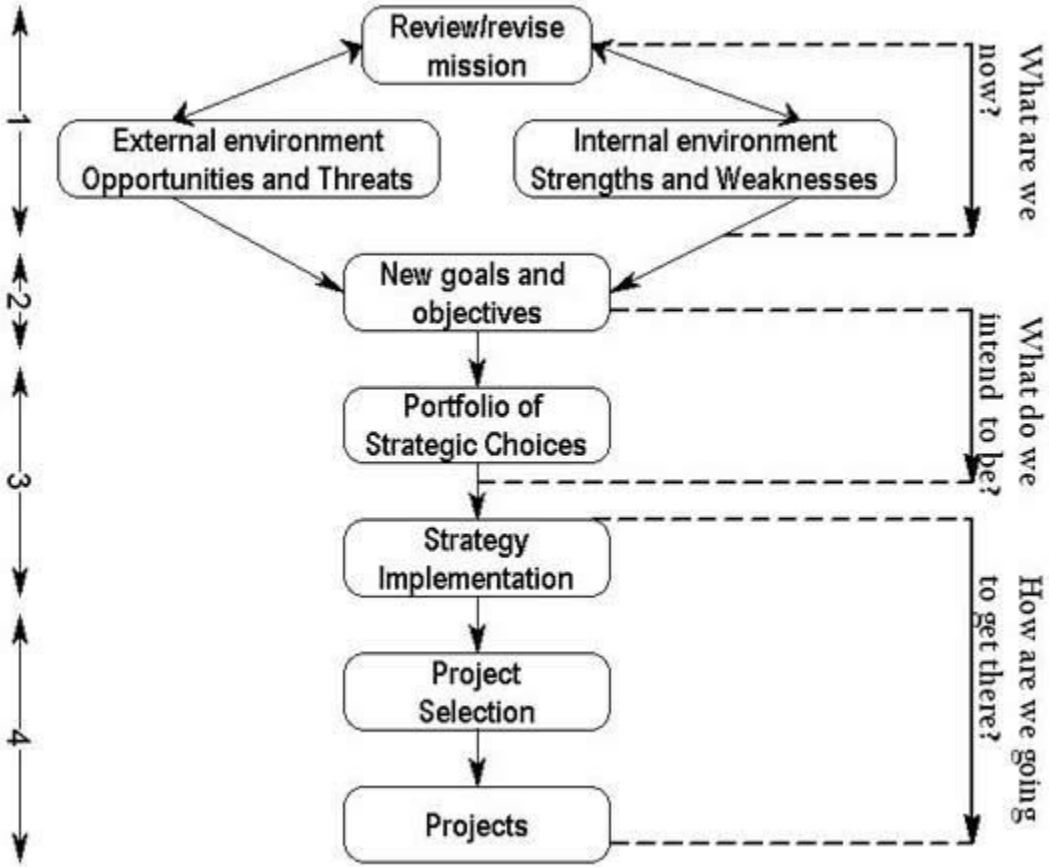
Strategy and Strategic Management

- Strategic Management is the process of:
  - Assessing " what we are"
  - Deciding and implementing "what we intend to be" and "how we are going to get there"
  - Two major dimensions
    - Responses to change in the external environment
    - Allocate scarce resources firm to improve a firm's competitive position

Strategy and Strategic Management

- Requires strong links between mission, goals, objectives, strategic and implementation
  - Mission – general purpose of the firm
  - Goals – global targets within the mission
  - Objectives – specific targets to goals
  - Strategies – require actions and tasks to be implemented
  - Very often, these actions are projects

Strategic Management Process



Sample Strategy Analysis Approaches

From - To Perspective

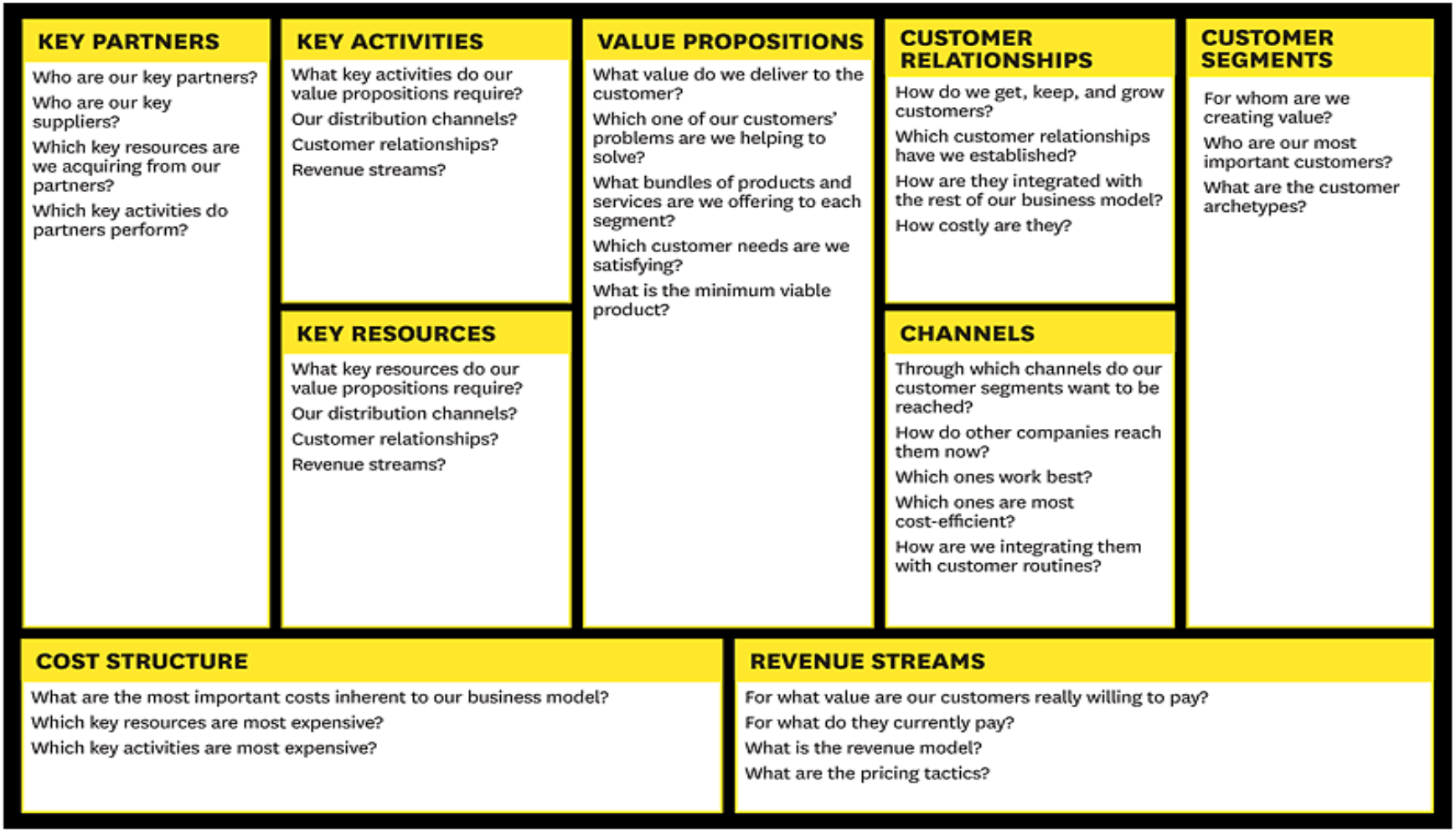
As a first step in the transformation journey, xx needs to transition from manual process to intelligent process

from manual processes…	…to intelligent processes
Paper Based: Paper based processes are time consuming, necessitate double entry and are prone to error	**Electronic capture:** Mobility device supports the scanning of inventory data for and updates inventory system
Incomplete data: Inventory data is incomplete which impacts operating certainty and obscures inventory management	**Managed data:** Data is managed according to established principles and rules to ensure its accuracy, completeness and timeliness
Limited insight: Limited reporting impairs the ability to make decisions to improve inventory management processes	**Intelligence:** Analytics supports dynamic decision making based on factual information
Complex: Manual process, inaccurate data and incomplete insight culminates into a complex operating environment which impairs responsiveness	**Essential:** Automated data capture coupled with managed data enables higher quality decision making to improve responsiveness

Opportunity identification/hypotheses

	Data	Analytics & Insight	Skills & Processes	Treatment Design	Decision Engine	Measure & Learn
Today	**Fragmented** • Fragmented data landscape, siloed across business units • Big data assets need to be leveraged to capture contextual customer behaviours	**Limited customer insight** • Product oriented understanding of customers, and a disjointed view of profitability and lifetime value over a 2-3 year horizon, limits the ability to design personalised campaigns and execute next best actions	**Skills are dispersed** • Product oriented understanding of customers, and a disjointed view of profitability and lifetime value over a 2-3 year horizon, limits the ability to design personalised campaigns and execute next best actions	**Limited** • Lack of granular insight results in a limited number of treatment plans available	**Lack of centralised orchestration across channels** • Disparate decision engines drive product centric decisions resulting in sub optimal allocations that detract from increasing customer value outcomes	**Limited measurement** • Measurement of customer treatment outcomes and attribution is not well developed • Results are lagged and manual intensive
Opportunity	**Democratise data** • **Unlock value** from data by enabling self-service access, consumption, and visualisation across the enterprise and for users ranging from data scientists, front-line staff and senior leadership • All data is not equal, **identify** and **leverage high value data** and integration points with analytics, and business workflows	**Embed insight** • Predict and pre-empt churn and top-up needs • Detect subscribers who will contact the call centre • Predict network issues throughout customer experience and proactively manage customer • Improve relevance and effectiveness of	**Industrialise** • Embed dynamic next best action recommendations in front-office workflows and applications • Establish an operating model that defines required skills and capabilities	**Create treatment families** • Treatment families identify opportunities for customer engagement based on predicted and predicted and actual contextual behaviours • Treatment library represents a repository of treatment families that can be deployed	**Single decision engine** • Progressively integrate existing disparate decision engines into an enterprise wide capability that delivers Omni channel orchestration	**Self learning** • Automated orchestration with proactive monitoring, machine learning and cognitive capabilities

Business Model Canvas



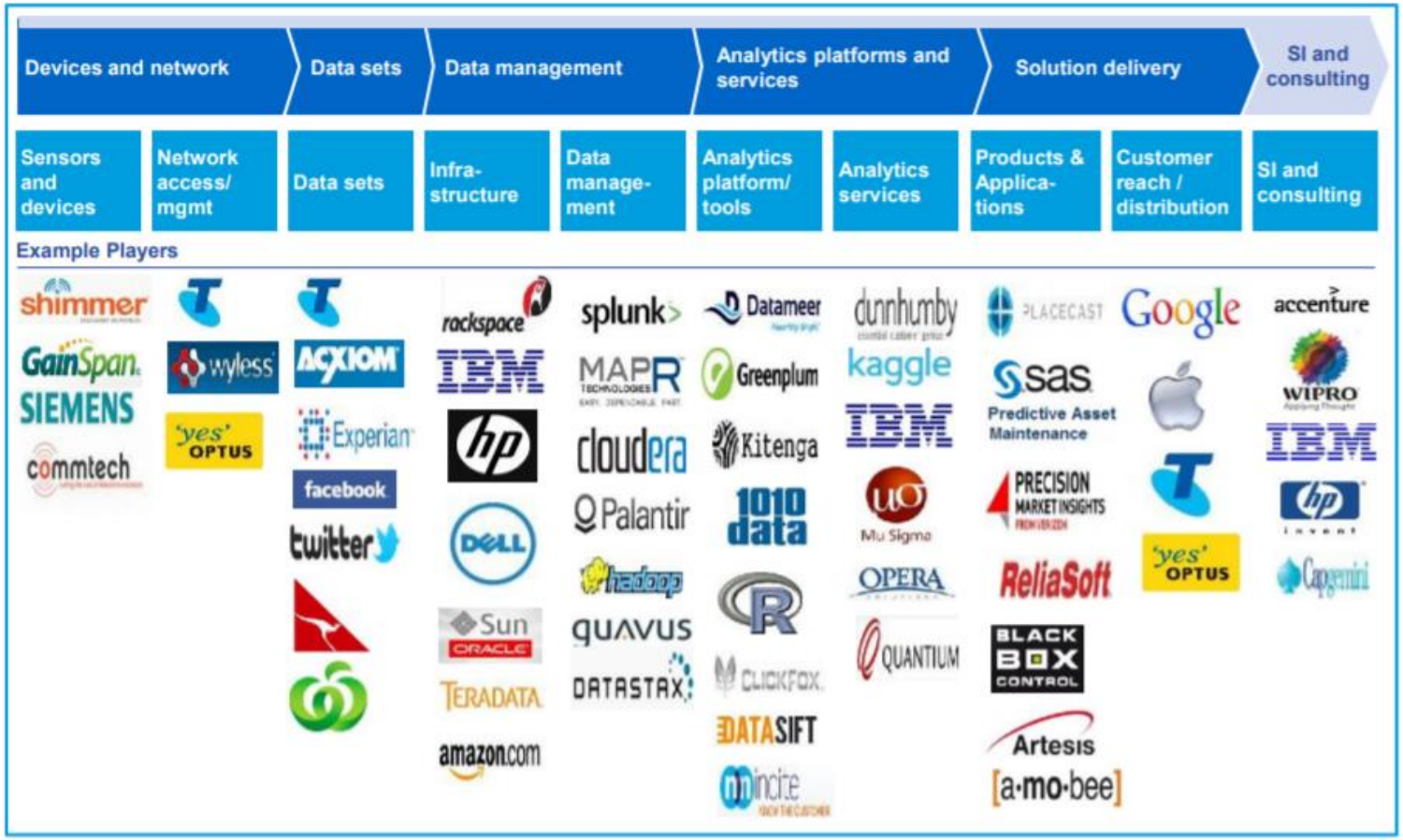
SWOT Analysis

	Opportunities • Opportunity • Opportunity • Opportunity	**Threats** • Threat • Threat • Threat
Strengths • Strength • Strength • Strength	**SO Strategies** How can the group's strength be used to exploit potential opportunities? SO strategies are fairly straightforward to implement.	**ST Strategies** How can the group use its strengths to ward off potential threats? Can the threats be turned into opportunities?
Weaknesses • Weakness • Weakness • Weakness	**WO Strategies** Can the group use an opportunity to eliminate or mitigate a weakness? Does the opportunity warrant the development of new capabilities?	**WT Strategies** Can the group restructure itself to avoid the threat? Should the group consider getting out of this market? WT strategies involve worst-case scenarios.

- Used to identify the overall state of an organisation.
- Both internally & externally.
- Evaluation of an organisation against identified success factors.
- Can be performed at any level.

Value Chain Analysis

Big Data vendors can play in many different slices of the value chain



SOURCE: Expert interviews, Market Analysis

Capabilities Assessment

XX strongest capabilities and distinctive assets are in data, network assets, NAS, and customer reach

PRELIMINARY

		Attractiveness	Telstra's capability / assets
Devices and network	Sensors and devices	Nascent area, highly vertically specialised	Capabilities in device management, and strong vendor relationships
	Network access/ mgmt	Limited value to be captured through growth in network traffic	Distinctive capability in network management (esp. mobile)
Data sets	Data sets	Only distinctive data sets with strong use cases will have value	Broad and deep customer data set. Location data particularly valuable
Data management	Infrastructure	Already commoditised; competitive space with low barriers to entry	Strong existing capability through NAS. On-shore location advantage.
	Data management	Explosive growth in volume/ speed of data, but competitive space	Limited existing fast/big data management capability
Analytics platforms and services	Analytics platform/ tools	Demand for analytics tools likely to grow as use cases pursued	Still developing internal platforms and tools
	Analytics services	Demand for strong analytics services expected to grow due to limited talent	Still developing internal analytics capabilities
Solution delivery	Products and applications	End-use applications growing rapidly	Some existing capability in application development (e.g. T-Box)
	Customer reach & distrib.	Limited intrinsic value, but critical to capturing value across the chain	Superior customer reach, with one of the largest customer bases in Australia
SI and consulting	SI and consulting	Significant growth in demand for big data solutions will fuel demand	No existing capability

SOURCE: Team analysis, expert interviews

Capabilities Assessment (cont.)

Digital Strategic Objectives

Digital Growth
Increase new online revenue

Digital Advocacy
Increased digital customer advocacy

Lower Cost Base
Increase Branch servicing capacity

Extend
Build capabilities to support Super Regional

Analytical Capabilities

1 Insight

- Strategic / Value Based Segmentation
- Customer Profitability
- Customer Interaction & Behavioural Analysis
- Voice of the Customer Analytics – Mobile/Web etc.

2 Interact
Sales | Service | Marketin

- Optimised Customer Communication
- Next Best Action / Dialogue Support
- Customer Experience/Advocacy

3 Empower

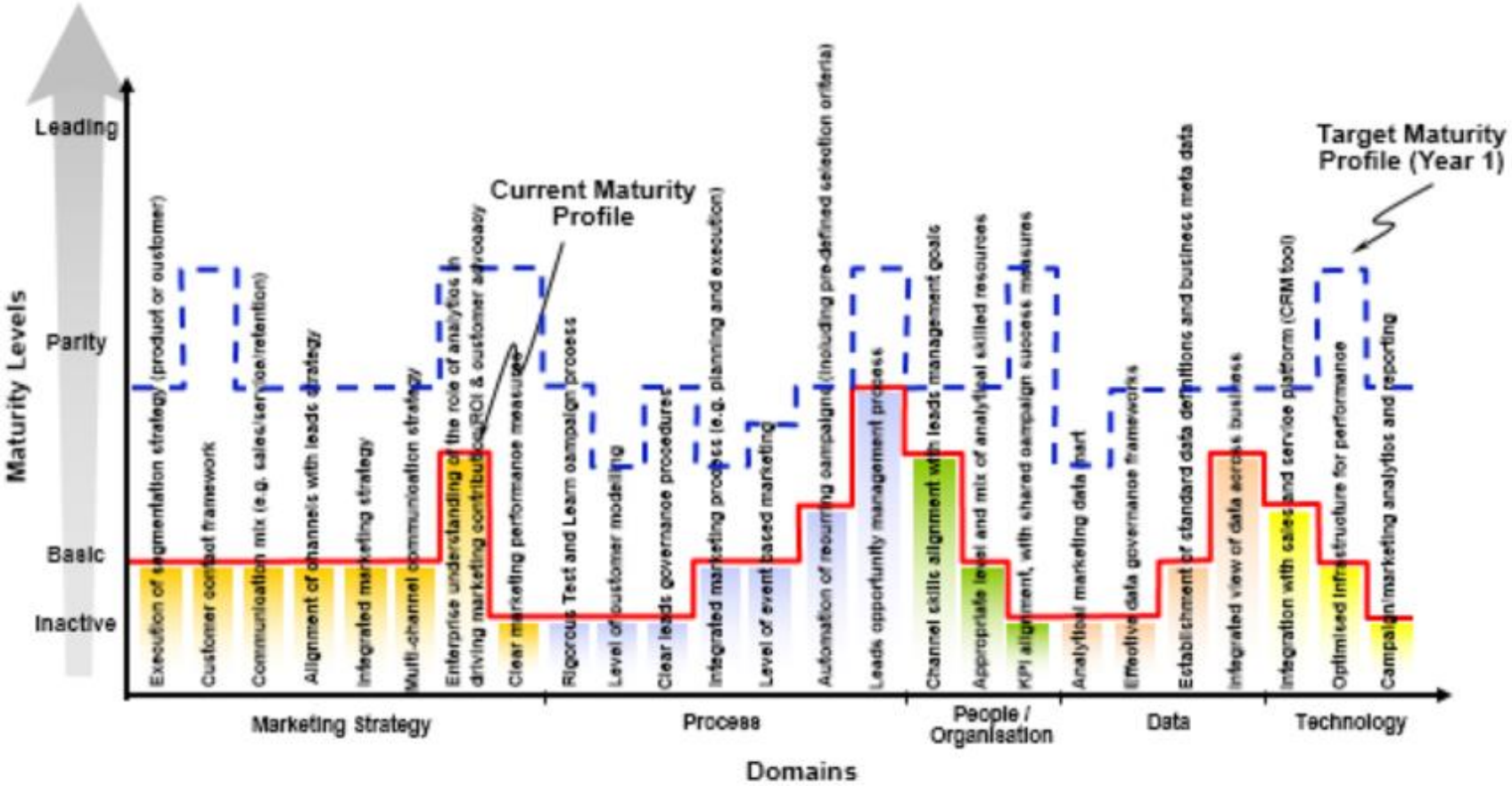
- Insight for Customers – ANZ to Customers | Peer-2-Peer
- Strategic Segment Reporting
- Self-Service Analytics

Outcomes

- Comprehensive understanding through segmentation based on value, interactions, behaviour & attitudes
- Detailed understanding of customer profitability across a range of dimensions
- Application of customer insight & profitability to maximise the effectiveness of all channels
- Extend beyond structured data to gain insights into attitudes and perceptions of customers and the market
- Highly targeted, timely communications optimised across all channels through continuous test & learn
- Maximising each interactions and conversation by providing the optimal action at each step
- Identifying and acting upon the key moments of truth
- Availability of insight for customers to deliver new value-add services
- Structure org. performance management information around customer, rather than product/process (eg. Mobile/Web Analytics)
- Delivering the tools to support an insight enabled organisation

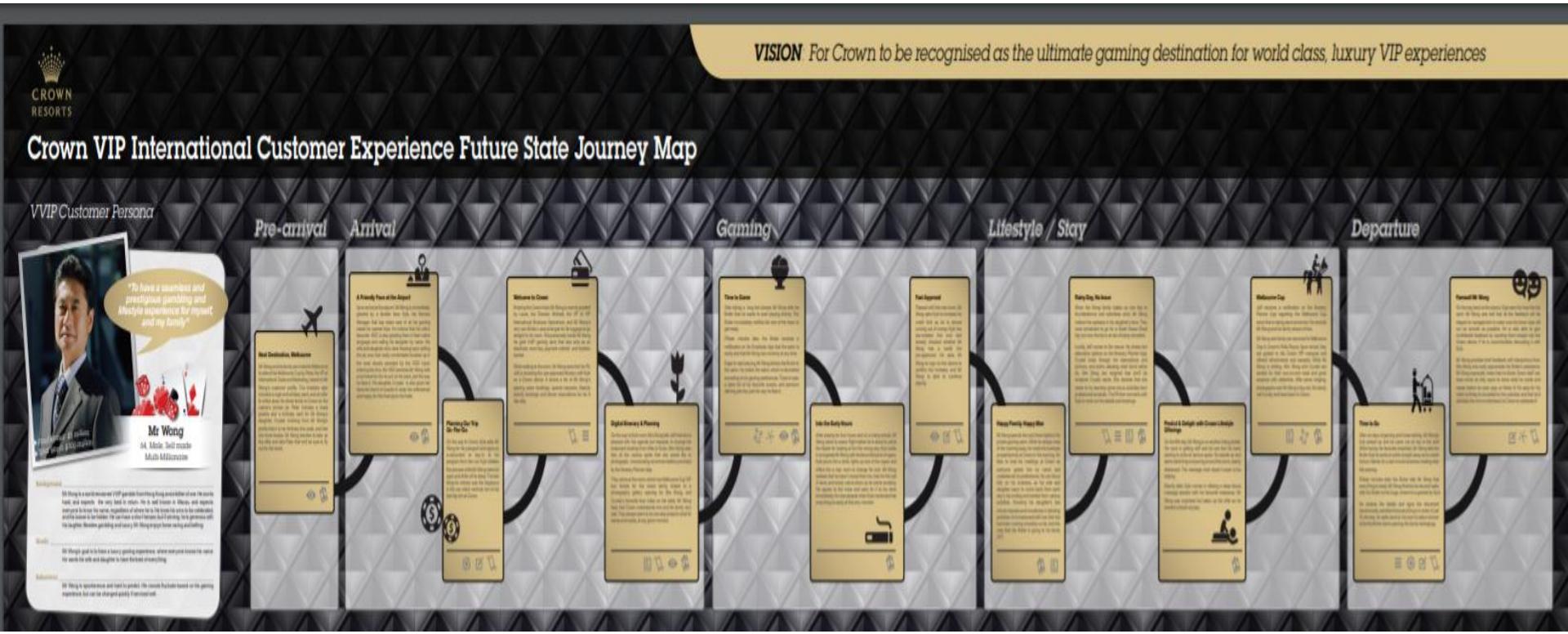
Maturity Model Assessment

An improved future level of capability will enable XX to achieve its strategic objectives



* Assessment based on interviews and information provided within Project timeframe

Customer Journey Map



Financial Model (Business Case)

NPV, IRR and sensitivity

Model Outputs

NPV	2,233,957
IRR	120.92%

Model Factors & Variables

Start date	*Jul-16*
Months p.a.	12
Days p.a.	365
Years of NPV	4.50
WACC	8.6%
Tax	30.0%
Pre-tax WACC	**12.3%**
Pre-tax WACC (mth)	**0.97%**
Months to peak benefit	18
Initiative up front cost	500,000

Estimate of Costs

Category	# of members	Unit cost	Totals
Gold Mid Tier (> 900 SCs)	27,000	$ 65.00	1,755,000
New Gold Mid Tier(> 900 SCs)	304	$ 65.00	19,780
Base Cost			1,774,780
90% Takeup			1,597,302
Other costs			
Fulfilment	27,304	$ 2.00	54,609
Total Costs			1,651,910

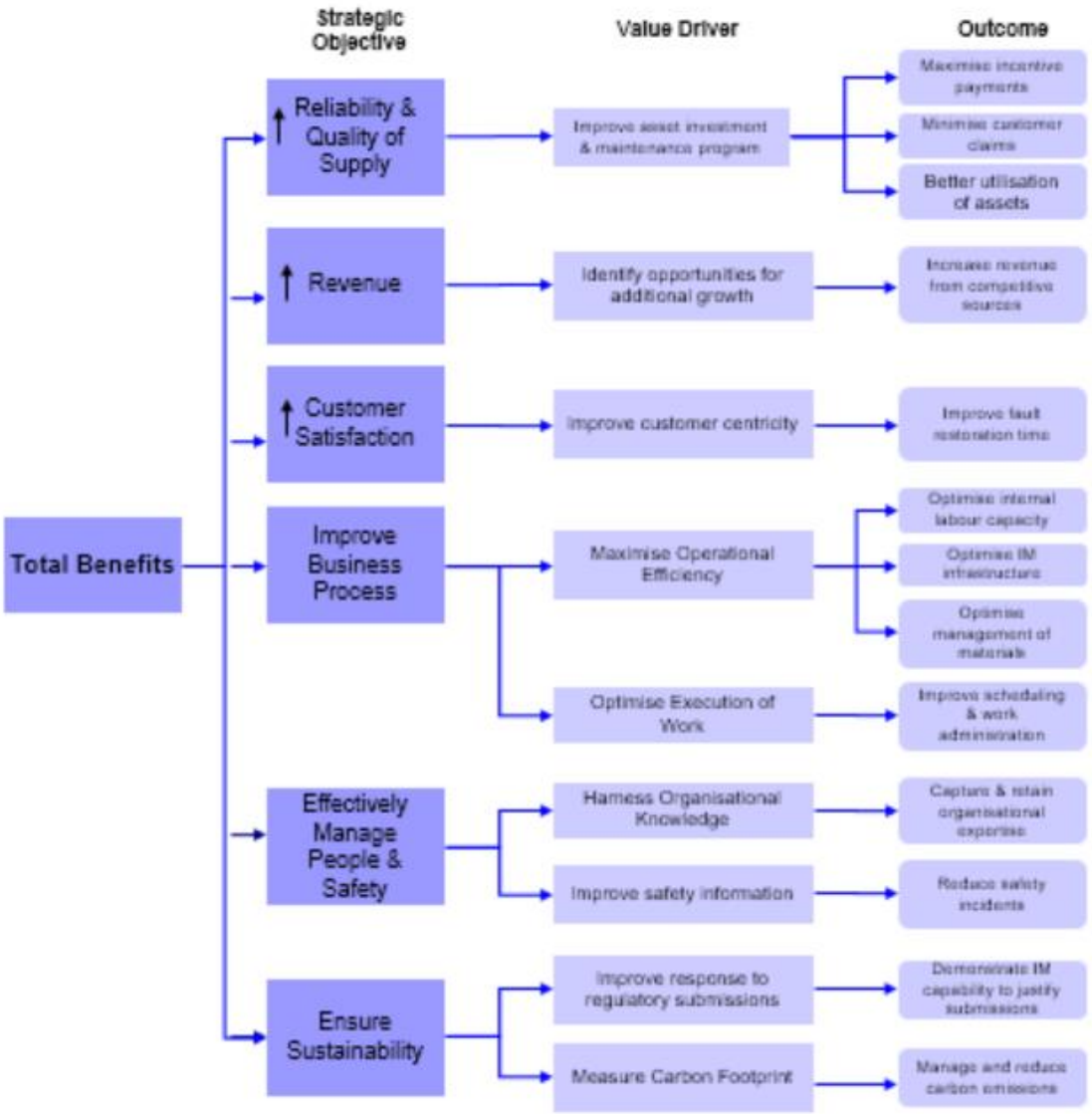
Estimate of Revenue Uplift

Category	No# Members	Takeup	$	Totals
Gold Members with > 900 SCs	27,000			
Gold 600-900SC	47,000	5%	$ 1,200.00	2,820,000
Total Benefits				2,820,000

Value Tree: quantitative

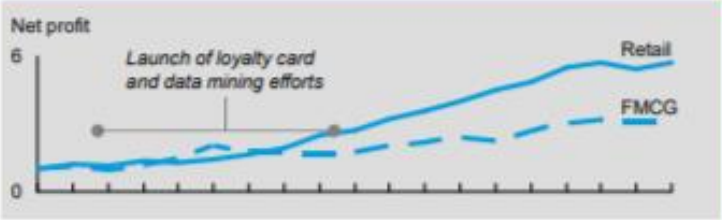
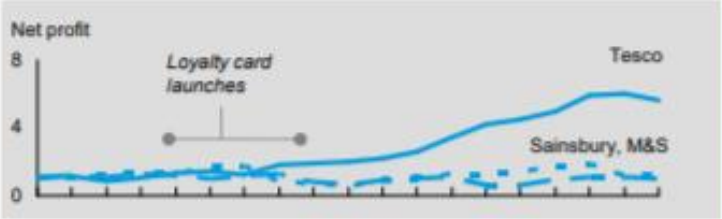
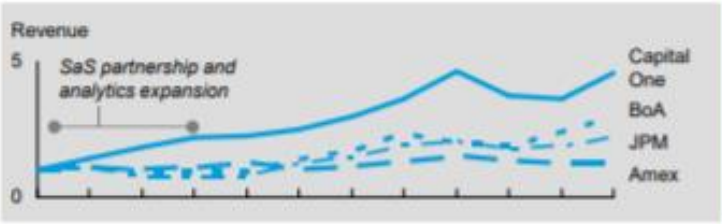
Business Outcome		Value Drivers	Formula	Potential Gross Profit Benefit Pool (per anuum)
Revenue Generation	Customer Acquisition	Increased customer acquisition from targeted marketing	(Total digital marketing impressions) x (click-through rate improvement) x (conversion rate improvement) x (average gross fit per customer) – (baseline customer acquisition gross profit)	$23.9M - $35.7M
	Churn Reduction	Churn reduction linked to better retention offer	(Total revenue lost for baseline churn rate) x (% customer base churn due to price) x (churn improvement)	$6.3M - $15.8M
		Churn reduction linked to enhanced billing and payments experience	(Total revenue lost for baseline churn rate) x (% customer base churn due to billing experience) x (churn improvement)	$5.0M - $10.0M
		Churn reduction linked to proactive customer engagement and service	(Total revenue lost for baseline churn rate) x (% customer base churn due to customer engagement and service) x (churn improvement)	$0.9M - $5.1M
	Cross-sell	Increased cross-sell from targeted marketing and bundling	(Total addressable market for cross-sell) x (% targeted) x (cross-sell improvement)	$4.1M - $11.0M
Cost Reduction	Cost to Serve (CtS)	CtS reduction linked to meter operations	(Baseline CtS allocated to meter operation activities) x (cost reduction)	$0.9M - $3.4M
		CtS reduction linked to billing and payment	(Baseline CtS allocated to billing and payment-related activities) x (cost reduction)	$2.4M - $6.6M
		CtS reduction linked to customer engagement and service (outbound, inbound)	(Baseline CtS allocated to customer engagement and service) x (cost reduction)	$2.9M - $8.7M
	Acquisition Cost (CtA)	CtA reduction attributed to offer and pricing management	(Baseline CtA allocated to offer and pricing management) * (cost reduction)	$2.9M - $4.6M
		CtA reduction linked to campaign management	(Baseline CtA allocated to campaign management) * (cost reduction)	$2.8M - $3.8M
		CtA reduction linked to customer contact (inbound, outbound)	(Baseline CtA allocated to customer contact) * (cost reduction)	$7.6M - $15.2M
		CtA reduction linked to contract activation	(Baseline CtA allocated to contract activation) * (cost reduction)	$1.7M - $3.4M
	Retention Cost (CtR)	CtR reduction linked to churn propensity activities	(Baseline CtR allocated to churn propensity activities) x (cost reduction)	$3.4M - $6.9M
		CtR reduction linked to offer management (physical)	(Baseline CtR allocated to retention offer management (physical)) x (cost reduction)	$3.4M - $6.9M
		CtR reduction linked to offer management (digital)	(Baseline CtR allocated to retention offer management (digital)) x (cost reduction)	$1.7M - $3.4M
	IT Cost	IT cost reduction	(Baseline IT cost) x (cost reduction)	$25.0M - $30.0M

Value Tree: qualitative



Use cases

Big Data is helping other consumer companies: Those who use it have been able to generate significant shareholder value

Actions	Battle & outcome	Impact (index 1991 =1)
Walmart ↑ / P&G ↓	**Procurement:** Walmart gained upper hand in negotiations with P&G by mining 600 terabytes of data for customer preferences and buying behavior	
TESCO ↑ / Sainsbury's ↓	**Customer Loyalty:** Tesco increased 'basket size' by 28% and took UK share leadership by understanding consumer behavior and linking purchases to a loyalty card program	
CapitalOne ↑ / American Express ↓	**Behavior:** CapitalOne outgrew the competition by running 60,000 yearly product-configuration experiments to understand consumer behavior and create new winning card offers	

Key Question: How can XX capture value by helping other businesses to do the same?